afloat. The policy of self-reliance effectively made India dependent on others. What appeared emotionally appealing and galvanizing proved economically disastrous and made the country poor and desperate.

Rollback of Import Substitution and Self-Reliance from 1991

Realizing the futility of the import substitution policy, India started making changes in the 1980s. The first Export-Import Policy (EXIM Policy) was announced in 1985, which contained some trade liberalization measures. Technology imports and capital goods imports were liberalized. Some monetary incentives for registered exporters were announced, which came to be known as REP scrips. We moved from an ad hoc and restrictive trade policy to a predictable multiyear policy framework. EXIM Policies were thereafter announced at three-year intervals.

The economic reforms of 1991 transformed trade policy, abandoning import substitution. Besides liberalizing foreign investments and technology imports, which contributed enormously by raising the quality of domestically produced goods and range of export products, the country used foreign currency adjustment to boost export competitiveness. We also adopted the EXIM Policy under a statutory framework in 1992.

Export performance improved dramatically; foreign exchange reserves shot up and a considerable amount of foreign investment came in. From catering for just four weeks of imports, India’s foreign exchange reserves rose to exceed import requirements of over fifty weeks in the next twenty-five years. Several global crises came and went—like the oil crisis of 1988–89, the East Asian crisis of 1998 and the global financial crisis of 2008—but we never found ourselves short of foreign exchange reserves to import capital and consumer goods. The country could completely open its current account and removed almost all restrictions on import. Licencing was given up. Yet, India remained total self-reliant in the matter of dealing with imports. This was true self-reliance. India was really atmanirbhar in terms